



Cash Balance Plans

A Retirement Planning Solution for Business Owners and Top Earners

Over the past 50 years, modern retirement planning has become anchored by the IRA and 401(k) plans. While these defined contribution plans, notable for their IRS-defined contribution limits, are essential tools for building wealth for future needs, relying solely on them may result in a retirement income gap for highly compensated business owners and professionals.¹

The Challenge for Highly Compensated Employees and Business Owners

Plan contributions to 401(k) plans and defined contribution profit-sharing plans are capped at maximum dollar amounts. For mid- to lower-level wage earners, the contribution caps don't generally prohibit sufficient retirement savings. However, for an employee or business owner earning substantially higher amounts, the dollar limits represent a much smaller percentage of their earnings. This disparity means that traditional plans often fail to replace an adequate portion of pre-retirement income for top earners.

A Structural Alternative: Defined Benefit Plans

In contrast, defined benefit plans provide participants with a stated lifetime retirement benefit. As opposed to capping contributions to a fixed dollar amount, defined benefit plan rules cap the maximum benefit a participant may receive.² Benefits in these plans are a function of compensation and age, requiring higher contributions for older participants who are top earners. For top-earning business owners, a defined benefit plan may allow substantially higher deductible contributions to a qualified retirement plan.

Defined benefit plans do have several drawbacks. Defined benefit plan distribution choices are inflexible and typically offer few payout options, and traditional defined benefit plans do not offer the same visibility of plan balances that 401(k) plans do.

The Hybrid Solution: Cash Balance Plans

A cash balance plan is a type of IRS-qualified defined benefit pension plan that maintains hypothetical individual accounts for each participant. Employers credit these accounts annually with a set percentage of the employee's compensation, along with a fixed or variable interest rate guarantee. Unlike traditional pensions, the benefits in a cash balance plan are stated as a current cash sum, making them highly portable and easier for employees to understand. When a participant becomes eligible to receive benefits, they have the flexibility to choose between taking their account balance as a single lump-sum distribution, rolling it over into an IRA, or converting it into a lifetime monthly annuity.

Advantages of the Cash Balance Plan:

- ✓ **Higher Deductible Contributions:** Deductible contributions can far exceed the limits of traditional defined contribution plans, offering a powerful tool for tax mitigation.
- ✓ **Maximum Benefit to Business Owners:** Cash balance plans may be designed to allocate a higher percentage of plan contributions to highly compensated business owners.
- ✓ **Business Agility:** Employers maintain control over the plan design, with the ability to adjust funding targets to align with shifting business objectives.
- ✓ **Portability and Flexibility:** Unlike traditional pensions, vested benefits can be taken as a lump sum or paid in any number of other options or rolled into an IRA or 401(k) upon job changes or retirement.
- ✓ **Predictable Security:** Benefits are not subject to the volatility of the stock market, providing a foundation backed by the claims-paying ability of the issuing sponsor/employer trust for those nearing retirement.

Key Considerations

While powerful, these plans require proactive management, including annual actuarial certifications and commitment to higher contribution levels. Employers are required to bear investment risk on plan assets, while employees must adapt to restricted access to their account value. The heightened management carries additional costs.

Sample Cash Balance Design³

Small law firm with two partner attorneys

Participant	Comp	Profit Sharing	Pension Investment Funding	Pension Insurance Funding	Total Contribution
Owner 1 (age 55)	\$345,000	\$30,000	\$214,000	\$152,000	\$369,000
Owner 2 (age 45)	\$345,000	\$10,000	\$138,000	\$3,000	\$13,000
3 Employees (ages 50,40, 30)	\$120,000	\$7,000	\$3,000	\$3,000	\$13,000
Total	\$810,000				\$655,000

Maximizing Contributions – Life Insurance as a Plan Investment

It is important to understand that a cash balance plan is designed as a promise to pay a defined benefit at some point in the future. The employer is required to meet that obligation via contributions to a pooled trust. The employer then must determine the best options for investing those contributions to meet the plan obligations.

One investment alternative is cash value life insurance. The primary advantages and considerations of using cash value life insurance include the following:

Advantages - Life insurance as a plan investment:

- ✓ **Higher deductible contributions:** Adding life insurance may increase the amount the employer contributes to the plan annually.
- ✓ **Deductible life insurance premiums:** The business gets a tax deduction for the contributions used to pay premiums. For high-income earners in the 37% bracket, this can provide a significant tax leverage for your life insurance fundings.
- ✓ **Tax-favorable, self-completing retirement for heirs:** Should the participant pass away prior to their expected retirement date, death benefits will be paid out to your chosen beneficiaries on a tax-favorable basis (the death benefit that exceeds the policy's cash value is received income tax free).

Considerations - Life insurance as a plan investment:

- ✓ **Additional annual tax on “economic benefit”:** You must report the “incidental cost” of the life insurance protection as taxable income every year. While usually much lower than the actual premium, it is still a yearly tax drag you wouldn't have with a standard plan.
- ✓ **Cap on amount of life insurance:** The IRS mandates that life insurance benefits must be “incidental” to the primary purpose of providing retirement benefits. There are several rules (50% rule / 100-1 rule) that limit how much life insurance may be acquired inside the plan.
- ✓ **Need for an exit strategy:** When the plan terminates, or a participant retires, additional planning is required to transfer the policy out of the plan. The participant may either buy the policy from the plan at fair market value (using after-tax dollars) or the plan may distribute the policy to the participant, which triggers an immediate tax bill on the policy's cash value. The prohibition of IRAs owning life insurance means you cannot roll the policy into an IRA.
- ✓ **Additional administrative considerations:** Adding life insurance requires specific plan language, annual valuations of the policy, and coordination between the plan actuary and insurance carrier.

¹IRC Sections 415, 402(g), and 401(a)(17)

²IRC Section 415(b)

³McHenry Advisors report, “Introduction to Modern Qualified Plans: Custom Tax Minimization Strategies”, 2025 McHenry Advisors Inc.

This hypothetical example is shown for illustrative purposes only, is not guaranteed, and should not be used to predict or project future results

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